

B2B RECEIVABLES · REFERENCE

The Cost of Waiting

DSO, aging, and why the timing of placement decides how much of a commercial invoice ever comes back

For a subscription or B2B business, the single biggest lever on how much of a past-due invoice is ever recovered is not how hard you chase — it is how quickly you act. The window between an invoice's due date and the day it is escalated determines what is realistically collectible. This paper explains the mechanics of days-sales-outstanding (DSO), why the recovery curve falls so steeply with age, and the one standing policy that recovers materially more without adding cost.

What DSO actually measures

Days sales outstanding is the average number of days it takes your business to collect payment after issuing an invoice. It is the clearest single read on how efficiently revenue you have already earned is converting into cash.

The formula

DSO = (Average Accounts Receivable ÷ Net Credit Sales) × Number of Days in the Period. Most industries target a DSO between **30 and 60 days**; the right number depends on your payment terms and customer base. A DSO drifting well above your terms is the earliest warning that receivables are aging faster than they are being collected.

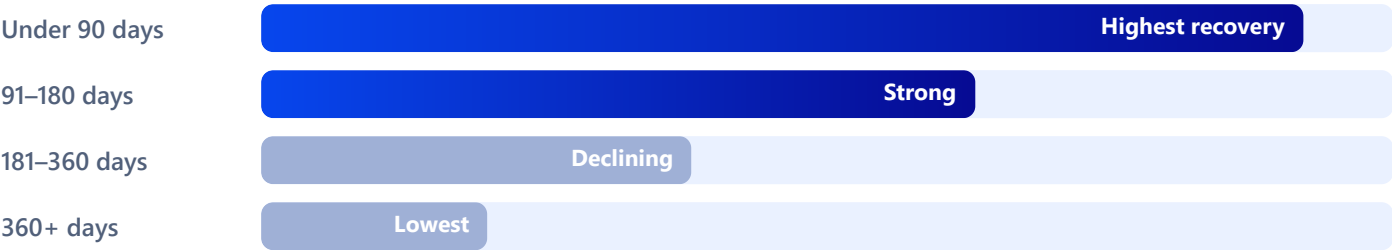
Why a high DSO quietly damages the business

When DSO climbs, working capital becomes trapped in unpaid receivables — revenue you have booked but cannot spend. The effect cascades:

- **Cash you have earned is unavailable.** Every dollar sitting in aged AR is a dollar you cannot deploy against payroll, vendors or growth.
- **Supplier and obligation strain.** Trapped cash makes it harder to pay your own suppliers on time, which can compound into late fees and weaker terms.
- **Missed growth.** Capital locked in receivables is capital not funding expansion, hiring or product.
- **Expensive substitutes.** Businesses with high DSO often reach for short-term financing to cover operations — paying interest to borrow money they are already owed.

Recovery falls as an invoice ages

A commercial balance is most collectible while it is fresh. As it ages, contact information goes stale, the paying contact moves on, the customer disengages, and your leverage erodes. The pattern below is illustrative and relative — the shape is what matters.



Illustrative and relative — actual recovery varies by account age, balance size, documentation quality and industry. Southwest Recovery Services does not promise a fixed recovery percentage and will give an honest read on a representative sample before any accounts are worked. Fresh commercial accounts (under roughly 90 days past due) often resolve within 30–60 days.

A proactive collections calendar

The most effective AR teams do not wait for an invoice to feel “very late” before acting. They run a fixed, escalating cadence from before the due date and hand off on a schedule rather than a hunch:

TIMING	ACTION	PURPOSE
5 days before due	Courtesy email reminder	Confirm the invoice is received and scheduled; surface disputes early.
3 days past due	Phone call	A human touch resolves most simple oversights before they age.
7 days past due	AR specialist contact	Direct, documented follow-up from a named owner.
15 days past due	Formal written notice	A clear, escalating record that the balance is now a priority.
30 days past due	Professional agency engagement	Third-party demand changes the customer’s calculus while recovery odds are still high.

The one rule that recovers more: place before 90 days

Placing early does not mean abandoning older accounts — aged balances should still be placed, and on contingency there is no cost to trying. The point is simpler: the sooner an account is escalated, the more comes back. A standing policy to place any account still unpaid at 90 days past due — applied to every customer, not decided case by case — is the highest-leverage change most finance teams can make.

- Place a test batch of fresher accounts to see the model work on your book.
- Place the aged backlog in parallel for skip-traced recovery at no upfront cost.
- Measure recovery by placement age — the gap makes the case for placing earlier, permanently.

How Southwest Recovery fits your order-to-cash cycle

- **Pure contingency.** No upfront fees, no retainer, no minimum — you pay only a percentage of what is actually recovered.
- **Low-lift placement.** Upload an AR / aging export from your billing system through a secure portal; we map your columns, so there is no re-keying.
- **Fast start.** Outreach typically begins within 24–48 hours of a documented placement.
- **Full visibility.** A live portal dashboard for account status and recovery — the same DSO discipline, extended past your internal steps.

Put a number on your window

We will review a representative sample of your past-due accounts and give you an honest, age-based read on what is recoverable — and what a standing 90-day placement rule would add to your cash flow.

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Provided for general informational purposes; not legal or financial advice. Recovery figures are illustrative and vary by portfolio. Southwest Recovery Services is a commercial collection agency recovering business (B2B) receivables nationwide.